

Japan

Japan Fair Trade Commission

Bid-rigging screening is the empirical method to detect bid-riggings through analysis of large bidding data and several competition authorities have been working on such activities due to some reasons such as decreasing number of leniency applications. In 2024, Japan Fair Trade Commission (JFTC)'s Economic Analysis Office launched the Bid-Rigging Screening Project. The main purpose of the project is utilizing bid-rigging screening methods to support the JFTC's case investigation.

The members of this project consist of staff from Economic Analysis Office, which was established in 2022 as a specialized team of economists, and Professor Jun Nakabayashi of Kyoto University, who is a co-author of influential academic literature on bid-rigging detection, and also joins the team as an Economic Adviser (part-time staff of the JFTC).

Up to now, the main activities of the project are as follows. First, the project team reviews relevant academic literature and foreign competition authorities' activities, in addition to literature review, the project team held meetings with foreign competition authorities to share experiences with each other. Second, it gathers public procurement data published by procuring institutions such as local governments through web scraping considering the absence of a centralized procurement system in Japan. Third, the project team is carrying out trial implementation of the empirical analysis using the bidding data collected through web scraping. The team is considering using existing methods including simple statistical indices adopted by foreign competition authorities, such as coefficient of variance or relative distance of bid prices, and econometric methods such as regression discontinuity design.

The upcoming challenges for the project team are collecting new data through web scraping, evaluating the effectiveness of the existing screening methods and indices to implement bid-rigging screening in JFTC's investigation and developing screening methods or tools suitable for procurement rules and practices unique to Japan.